

Support Adult Day Medical Services...

...the vital and cost effective link in the long term care continuum between home & facility-based care.



**FY 2023 State Budget Testimony
NJ Adult Day Services Association**

Good morning, Assembly Budget Chair Pintor Marin and Committee members. My name is Dov Felder and I am here on behalf of the New Jersey Adult Day Services Association (NJADSA) to testify on the FY 2023 State budget.

COVID-19 presented tremendous challenges for New Jersey's frail, elderly population as well as the providers of the care that they need. This includes the estimated 20,000 individuals able to remain home in their communities because of the care that they receive from adult medical day care providers.

Fortunately for these individuals, adult medical day care providers, with the support of the Department of Human Services, were able to shift from facility-based care as a means of curtailing the spread of COVID-19 to instead provide that care while they remained home. As the lead trade organization representing over half of the State's licensed adult medical day care service providers, NJADSA is proud of our members' success in maintaining the continuity of care for the program participants that they serve.

Now that adult medical day care centers have reopened with limited access to telephonic and in-home services for those individuals who prefer to remain at home due to continued fear of COVID-19, new challenges have arisen.

The need to maintain social distancing means fewer participants being cared for at centers than prior to COVID-19. That combined with remote service provision limited to three days per calendar week, the impact is a reduced revenue stream. Meanwhile, a NJADSA member survey conducted late last year found adult medical day care providers face substantial cost increases.

This includes more trips to transport program participants due to the need to maintain social distancing. The rising cost for gasoline further exacerbates transportation costs. So, too, do the higher wages required now to retain drivers, for which hourly pay has risen 40% on average over pre-pandemic levels. The cost of purchasing vehicles to transport program participants between their homes and centers as well as to and from medical appointments has also risen dramatically. One member received a quote of \$64,000 to purchase a vehicle that cost \$41,000 in 2020, a 56 percent increase.

The NJADSA member survey also found that the cost of a case of paper towels has risen 22 percent since prior to the pandemic, and single person health insurance up by 14 percent. One member reported the cost of property and casualty insurance increasing by 20 percent over the same time frame. Members also reported that the cost of PPE since reopening has run about \$1,400 per month per center.

In addition to the financial hurdles that these significant cost increases present for adult medical day care centers as they returned to in-person care, they also face the challenges of retaining and recruiting staff amidst an extremely competitive labor market. To make matters worse, the skill sets that our members require are in tight demand. This has pushed wages up substantially.

Our member survey found that the minimum hourly pay for licensed practical nurses has risen an average of 21 percent since before the pandemic. For registered nurses, the minimum pay is up 24 percent, while the minimum wages required to fill dietary aide, activity aide, social worker and certified nurse aide positions have increased by 30, 30, 43 and 45 percent respectively.

Adult medical day care staff work tirelessly each day to provide the critical medical care, skilled treatments, medical care management and coordination, medication management, nutritious meals, therapeutic activities, and transportation to and from home and medical appointments to program participants. This helps promote independence and prevents more costly facility placements.

Our members want to be able to pay their staff the wages that they warrant and what the market now demands. They also want to remain financially viable so that we can continue to provide the quality care and services that our program participants require and deserve. However, it is increasingly harder to achieve these objectives under the weight of substantial cost increases.

I implore you to keep in mind that adult medical day care service providers have received zero support from the State allocation of American Rescue Plan funding. Nor was our sector included in the State plan to enhance home and community based services through the enhanced federal Medicaid match (FMAP), despite the fact that adult medical day care is the quintessential home and community based services provider.

We do appreciate the current rate of \$86.10 per day that the Legislature included in the current State budget. We understand this is the rate proposed for FY 2023. Unfortunately, however, this rate has proven insufficient. Keep in mind that it is only 22 cents more than the daily reimbursement that adult medical day care providers received in 2008, less than one percent more. Adult medical day care providers are in desperate need of a rate increase. The magnitude of inflationary costs in providing care to program participants easily tops 20 to 25 percent in the aggregate.

While this sharp rise in expenses, especially over the past year, arguably justifies more, we respectfully seek a 12 percent increase in the Medicaid fee-for-service rate paid to adult medical day care providers. That is about \$10 more per Medicaid beneficiary program day and would cost an estimated 10 million State dollars to provide.

Adult medical day care is, by far, the most cost-efficient care setting in the long term care continuum. Our providers help ensure that the vulnerable population they serve stay as healthy as they can while living independently in their communities for as long as possible. This objective can best be accomplished by granting the 12 percent fee-for-service rate increase that NJADSA requests for State fiscal year 2023 and setting that as the minimum rate to be paid for the care and services provided for all Medicaid beneficiaries in need of adult medical day care.

The NJADSA thanks you for this opportunity to offer our testimony on the FY 2023 State budget and we greatly appreciate for consideration of our requested rate increase needed to help our members continue to provide quality care to our program participants.